FROM THE

EDITOR-IN-CHIEF

The second coming of Donald Trump is being received across the world as an unstamped visa to an uncertain future. One thing about it is certain: Trump will unveil a radical immigration policy post haste. His chief rallying cry was how migrants are taking away jobs from Americans, besides being responsible for rising crime. There are two categories of Indians, very different from each other, in the direct line of fire. The unfortunate ones are those who have chased the American Dream using the common legal route: the H-1B visa. An estimated one million Indians figure in this ledger, if you count dependants. The other is more dubious: a large pack of illegal immigrants, said to be about 725,000.

With Trump promising the largest-ever mass deportations of illegal immigrants on his first day in office, the Indian government is all braced for a major political headache. Some 17,940 Indians, who have exhausted all legal recourse, might find themselves on that humiliating first flight home. New Delhi may have to handle the embarrassing spectacle of a mass of economic refugees returning. Alarm bells are also ringing in the Indian software industry. In FY24, the US accounted for 54 per cent of their total $205 billion exports. Onshore operations on American soil are an existential necessity for them, and the H-1B visa a primary enabler. At its worst, a radical tightening of the H-1B policy can become a wrecking ball for the main trans-Atlantic bridge for Indians. For years, they have cornered about 70 per cent of the 85,000 H-1B visas issued annually. They see this gate narrowing amidst a volatile war of words about immigration that's heating up the US public sphere.



November 18, 2024

The contours of the debate show even Trump has a tricky balancing act ahead. His part of the political landscape is split right down the middle. Paradoxically, a bevy of influential H-1B enthusiasts lines Trump's core retinue. Among them is the world's richest man, Elon Musk, who himself is an H-1B beneficiary of South African origin and is now co-chair of Trump's planned Department of Government Efficiency (DOGE). He has unambiguously thrown his weight behind the Indian camp: there's an apparent convergence of views here with the US tech industry, which is hungry for skilled talent. Ranged against them are the vehement H-1B antagonists who make up Trump's angry White constituency, especially the 'Make America Great Again' (MAGA) movement he has fostered. For the MAGA stormtroopers, bred on Trump's anti-immigrant dog-whistling, H-1B is the very antithesis of his 'America First' agenda. This camp has no dearth of provocateurs either. For instance, former Trump strategist Steve Bannon threatened to have "Elon Musk kicked out before the inauguration". The MAGA critique is that corporations have gamed the system to bring in foreign "indentured servants" at lesser pay, displacing skilled Americans. Interestingly, this was supported by the endorsement of even arch-leftist Bernie Sanders, who pointed to 85,000 American layoffs in 2022-23, even as big corporations hired 34,000 H-1B workers.

With the rhetoric rife with racist stereotypes, those thrown into turmoil include the 330,000-odd Indian students at US universities. Indeed, none among the whole cohort of Indians in the US can claim to have their equilibrium intact. Not those in the long queue for Green Card status, a list that presently features even tech luminaries like Perplexity AI co-founder Aravind Srinivas, an IIT Madras alumnus. Nor even second-gen Indian Americans like Cincinnati-born entrepreneur Vivek Ramaswamy, Musk's partner at DOGE, who stirred a hornet's nest with his quip that American culture has "venerated mediocrity over excellence for way too long".

Which way will Trump go? He is beholden to his libertarian, 'anti-system' tech pals. Nor can he antagonise his MAGA base. Caught in the middle, he seems to be discovering the virtues of nuance. Tempered by the blowback, Musk advocates a variation of the policy followed in Trump's first term. Between 2017 and 2021, US employers faced deterrents in a higher wage norm and tight application reviews that greenlighted only the "most skilled". The denial rate touched 24 per cent, a peak shown up by the subsequent plunge to 2-4 per cent under the Biden presidency. The likeliest scenario: the Trumpian iron fist being reserved for illegal immigrants while a velvet glove reorders the H-1B policy in a graded manner. Entry-level Indian recruits may become costly for US companies, as the turnstiles only let in top-tier professionals. The disruptive prospect of well-settled professionals having to leave the US is not off the table.

The Modi government must treat this crisis as an opportunity to reposition India as a job haven, not a sinkhole everyone wants to exit. Fostering the Global Capability Centre (GCC) boom has seen success in harnessing tech talent at home. Indian software majors, too, will return to the more balanced hiring practices they had during Trump 1.0. Both must ideate on bolder measures to turn India into a global hub. For the magic carpet for US-bound Indians threatens to shrink, if not entirely vanish.



(Aroon Purie)